

So, here are the fundamental questions that permeate much of what I will be discussing in this book:

- Would you take a lump sum in lieu of a pension and invest it yourself, together with all the contributions you would receive from your employer over the next 20 years? Or would you say, “no, thanks” to the offer and just wait until retirement and take a pension based on your 35 years of service?
- If you did decide to take the lump sum and invest it yourself, how exactly would you allocate the money over the next 20 years?

Although I don’t live in Florida I, too, face a similar decision at retirement. I am in a defined benefit plan that gives me the option to cash-out in retirement and manage the funds myself for the rest of my life. Luckily I have about 25 years to decide. How about you? Do you think you could manage and invest a nest egg yourself and grow the money to an amount that would generate a greater lifetime income compared to a pension? What if you live much longer than you expected? What if the market declines just when you are about to retire? What if inflation is higher than expected? It’s a tough decision, no question! And yet, if demographics and corporate trends are any indication, many millions of Americans will be making this exact choice over the next 5 to 10 years. They have a number—an amount of money in a tax sheltered savings account—and must decide how to convert it into a pension.

Agenda for Book

My objective is to get you to think differently about the many decisions you make on a daily basis, and to highlight the financial and investment aspects of those decisions. The reason this type of thinking has now become more important than ever is precisely because of the very large responsibility that has now shifted into your hands, namely the concern of creating a sustainable income for the rest of your very long life. My bias, if I do have one, is to move people away from short-term investing-by-speculating to a more prudent long-term investing-by-hedging or investing-by-protecting. What risks do you really face